the second half of the year must slow to 4-5 per cent. It's not economics, just the tyranny of arithmetic!

So, if in the next fiscal year, growth is expected above 6 per cent, as consensus suggests, then it needs to rise by over 2 percentage points over the run rate in the second half of this fiscal year. This year, global growth is heading towards 2.9-3 per cent. Next year, it is slated to nearly halve to 1.7 per cent as the US slows towards a recession and China begins to recover only in the second half. To expect India to deliver 2 percentage points higher growth when the global economy slows 1.2 percentage points will be challenging, to say the least. Private investment continues to languish and the recent rise in bank credit is to a large extent driven by the higher inflation and non-bank financials shifting to borrowing from banks rather than raising funds from the capital market. Indeed, even after the rise in credit and the expansion of digitalisation and efforts to increase financial inclusion, overall credit (bank plus non-bank) as a share of GDP is lower than in the past decade.

But more problematic is the narrative around the widening of the CAD. Instead of exports and imports, think of the CAD as a source of funding. An economy's fiscal deficit must be funded either by borrowing from residents or foreigners. This is just an adding-up identity. The private sector's excess of savings over investment (the savings-investment gap) is the part of the fiscal deficit that residents fund and the CAD is the part financed by foreigners. It does not matter whether the government directly borrows from non-residents or not. For example, the Indian government funds most of its needs domestically but by doing so, it forces the private sector to borrow abroad. What matters is how the country funds competing demands.

This year's funding arithmetic stands something like this: Even after declining, the public sector (Centre, state and PSUs together) needs to borrow 10-10.5 per cent of GDP, the excess savings of the private sector (after funding its investment needs) is 6.5-7 per cent of GDP, such that 3-3.5 per cent of GDP needs to be borrowed abroad, which is the resulting CAD. In comparison, during 2020-21—the pandemic year—the private sector's excess savings was a whopping 14-14.5 per cent of GDP, such that despite a much larger public sector deficit of 13-13.5 per cent of GDP, instead of borrowing, India invested around 1 per cent of GDP abroad that resulted in a current account surplus of the same amount.

AS THE WORLD ECONOMY SLOWS AND THE US HEADS TOWARDS A RECESSION, GLOBAL MARKETS **WILL TURN INCREASINGLY RISK-AVERSE**

This way of looking at the issue avoids going down the rabbit hole of debating whether exports fell because of lower demand or an uncompetitive exchange rate; whether imports rose because of higher commodity prices or because rich Indians are splurging on foreign consumer goods; or whether India's infrastructure build-up now requires more foreign capital equipment than before. Instead, this focuses the problem on its root cause, namely, the sharp decline in India's private savings. The rupee weakness is just the foreign investor's way of saying that asset prices (both equity and bonds) in India are too expensive and therefore need to be compensated by a much cheaper currency. With global markets not funding the CAD fully, the RBI had to draw down the country's public savings, i.e., its foreign exchange reserves.

What caused private savings to fall? There is a myriad of reasons, but clearly falling household and SME incomes are a key cause. This trend is unlikely to reverse in 2023, such that the government needs to substantially reduce the deficit. If it doesn't, then the CAD will rise further. In a world where global financial conditions will remain as tight or even tighten further (depending on where the US takes its policy rate), India will find it very hard to fund a wider CAD without cheapening its exchange rate or equity and bond valuations substantially (for bonds, this would imply a much higher yield and policy rate).

A tighter budget, higher interest rates, lower investment and slower growth are what it will take to keep foreign borrowing (and inflation) contained and safeguard financial stability. As the world economy slows and the US heads towards a recession, global markets will turn increasingly risk-averse. Hunkering down is the prudent way to navigate these challenges. India's growth in FY 23-24 too will slow and the temptation to ease fiscal and monetary policies in response will be high. But good macro management, like parenting, requires knowing when to say no. ■

These are the author's personal views